Question 1: Solution

Results of substantive procedures	Additional audit procedures required
Abbas Limited The difference of £7,780 between the trade payables ledger and the supplier's circularisation responseappears to relate to invoice 2546. **(1 mark)** Per review of Fine's financial ledger, it is noted that the goods received for thisinvoice were returned on 26 January due to imperfections in the product, butthis has not yet been confirmed by the supplier**. (1 mark)**	• Inspect a copy of the internally generated goods dispatched note (GDN) relating to invoice 2546. **(1 mark)** Vouch that the note is dated 26 January 2X21 (ie pre-year-end) and inspect the accompanying transport documentation/courier signature to confirm that the goods were returned before the year- end date. **(1 mark)** • Inspect, if available, a copy of the post-year-endcredit note received from Abbas Limited **(1 mark)** and confirm that it relates to invoice 2546 and is for the sum of £7,780. **(1 mark)**
Delta Limited The difference of £1,240 between the trade payables ledger and the supplier's circularisation responseappears to relate to invoice 814. **(1 mark)** Per review of Fine's financial records, this relates to a delivery received, per the list of GRNs post-year-end on 2February 2X21, and therefore should not be recognised within the trade creditors balance as at 31 January 2X21. **(1 mark)**	• Obtain a copy of the goods received note (GRN) relating to the 200 handbag buckles, and inspect the date stamp on the GRN **(1 mark)** to determine the date on which the goods were received by Fine and that this was post-year end. **(1 mark)** • If the date is pre-year end, **(1 mark)** request that the value of goods received be added to the accrual for goods received not invoiced (GRNI)as at 31 January 2X21. **(1 mark)**
Essien Limited The balance of £135,400 has been agreed to the balance per the tradepayables circularisation received on 20April 2X21 and no further audit procedures are required for this balance. **(1 mark)**	n/a
Folds Out Limited The difference of £2,400 between the trade payables ledger and the supplier's circularisation responseappears to relate to invoice FA207. **(1 mark)** Review of the goods received notes(GRNs) listing confirms a receipt of goods of £2,400 on 30 January 2X21, but this is not reflected in the trade payables ledger at 31 January 2X21. **(1 mark)**	• Inspect a copy of invoice FA207 **(1 mark)** and match thedetails on the invoice (product codes and quantities) to the GRN and confirm receipt of goods on 30 January 2X21. **(1 mark)** • Inspect the breakdown of the GRNI accrual **(1 mark)** toconfirm that the relevant liability for the goods received on 30 January 2X21 has been recognised. **(1 mark)**
Premium Cuts Limited and Smooth Cuts Limited The difference of £5,300 between the trade payables ledger and the supplier's circularisation response forboth Premium Cuts Limited and Smooth Cuts Limited appears to relateto invoice 114760 for £5,300. **(1 mark)** The detailed information from the trade payables ledger accounts indicates that invoice 114760 has been misposted and that the amount is due to Premium Cuts Limited rather than Smooth Cuts Limited. **(1 mark)**.	• Obtain a copy of invoice 114760 and inspect **(1 mark)** the company name and address to determine which supplier sent the invoice to Fine. **(1 mark)** • If the invoice has been misposted, **(1 mark)** this maybe considered a control weakness and be communicated to management **(1 mark)**

Question 2: Solution

Requirement 1 **Outstanding points from audit**	**Requirement 2** **Additional actions or evidence required**
Fifteen hot tubs had been delayed in dispatch and were sitting in the warehouse packing area; however,they were not included on the inventory listing at the year-end. **(1 mark)** As the goods have not yet been transferred to the customer, the sale should not yet be recognised **(1 mark)** andrevenue, deferred revenue and cost of sales are overstated and inventory is understated. (**1 mark)**	• Inspect goods dispatch notes to confirm post-year-end delivery of goods **(1 mark)** and confirm date of ownership transfer by reviewing proof of delivery. **(1 mark)**
The pension cost, liability and related payment perthe accounting records differs from the actual payment made to the pension provider per the bank statements, due to a transposition error. **(1 mark)** The journal entry has only adjusted the bank account,**(1 mark)** resulting in the employee costs being overstated in the financial statements (the liability has already been settled). **(1 mark)** There is also a suspense account balance that should be removed before finalising the financial statements.	• Inspect correspondence from pension supplier **(1 mark)** to confirm thatpayment made agrees to the amount of £15,836 on the bankstatement. **(1 mark)**
An aged trade receivables balance of £81,000 has been outstanding for over 180 days and only 50% ofthe balance has currently been provided for, despitethe company entering administration. **(1 mark)** As the customer is now in administration, this raisesconcerns over the recoverability of the balance **(1 mark)** and the remaining balance may require to be provided forin the financial statements otherwise trade receivables will be overstated. **(1 mark)**	• Verify that customer has entered administration **(1 mark)** by inspecting administrator's correspondence or Companies House. **(1 mark)** • Verify any correspondence from the administrator **(1 mark)** on likelihood of Tubs receiving any of the balance outstanding. **(1 mark**)
One hot tub received on 31 October 20X1 was notincluded in the inventory listing at the year-end. **(1 mark)** If Tubs took delivery of the item at year-end, then thisshould be recognised in the inventory listing. **(1 mark)** Inventory and the GRNI accrual are currently understated. **(1 mark)**	• Verify receipt of goods by inspecting GRN **(1 mark)** to ensure that all hot tubs were received prior to the year-end and properly accounted for. **(1 mark)** • Confirm the value of the hot tub **(1 mark)** by inspecting the purchase order/ invoice. **(1 mark)**

Requirement 3

Summary of audit misstatements (SAM)

Top Tubs Ltd **Year-end: 31 October 20X1** **Summary of audit misstatements (SAM)**					
Financial Statements Account		**Dr**	**Cr**	**Material**	**Adjusted**
		£	**£**		
1	SPL - Revenue	150,000		Y	Y
	Deferred revenue		150,000		*Note 1*
	being reversal of revenue for items not dispatched **(1 mark)**				
2	Inventories	120,000		Y	Y
	SPL - COS		120,000		*Note 2*
	being reversal of COS for items not dispatched **(1 mark)**				
3	Dr Suspense Account	36,000		N	N
	Cr SPL - Payroll costs		36,000		*Note 3*
	being the removal of suspense account and correction of overstatement of payroll costs **(1 mark)**				
4	Dr SPL – Admin Expenses	40,500		N	N
	Cr Trade Receivables/ Allowance for doubtful debt		40,500		*Note 4*
	being additional bad debt write-off **(2 marks)**				
Summary and Conclusion					
Adjusted differences in SPL		30,000 Dr **(1 mark)**		Unadjusted differences are judged to be immaterial. **(1 mark)**	
Unadjusted differences in SPL		4,500 Dr **(1 mark)**			
Adjusted differences in net assets		30,000 Cr **(1 mark)**			
Unadjusted differences in net assets		4,500 Cr **(1 mark)**			

Note to markers: Students may include different financial statement accounts. Credit should be awarded for any relevant financial statement accounts. No credit should be awarded for adjusting for the hot tub not recorded at year-end, as this is below the trivial threshold.

Note 1

The error is above materiality and requires adjustment in the financial statements. (1 mark)

Note 2

The error is above materiality and requires adjustment in the financial statements. (1 mark)

Note 3

The error is below materiality and does not require adjustment in the financial statements. (1 mark)

Note 4

The error is below materiality and does not require adjustment in the financial statements. (1 mark)